

In 1926 the company erected an office building in Newark, N.J. The cost of land and building was apparently about \$3,800,000, but the land value was marked up from \$300,000 to \$2,000,000 through the familiar process of “appraisal.” The cost of the building was defrayed through sale of the following securities:

6% first-mortgage bonds	\$3,150,000
7% unsecured notes	450,000
Preferred stock	450,000
Common stock	100,000

(The mark-up of the real estate gave the common stock a “book value” of about \$1,800,000.)

Following a period of poor earnings, interest was defaulted on June 1, 1932, and a receiver was appointed. Shortly thereafter a reorganization plan was drawn up, providing as follows:

1. The first-mortgage 6% bonds due 1947 were to be exchanged for first-mortgage 5% *income* bonds, also due 1947.
2. The 7% unsecured notes due 1937 were to be exchanged for 7% unsecured *income* notes, due 1948.
3. The 8% preferred stock was to be exchanged for new 8% preferred.
4. The common stock was to be exchanged for new common.
5. All these exchanges were to be made par for par or share for share.

The plan was carried out by the purchase of the property at foreclosure sale for \$100,000 by the Reorganization Committee. First-mortgage bondholders who did not accept the new securities received in cash only \$56.43 per \$1,000 bond.

In this readjustment the bondholders gave up their fixed claim to interest, receiving no compensation of any kind therefore, while the stockholders gave up nothing at all. (Dividends are to be postponed until after two-thirds of the bonds have been retired, but such retirements inure to the benefit of the stockholders and this provision does not really represent a sacrifice on their part.) This was an extraordinarily one-sided composition or “compromise” —the more so since the bondholders were clearly entitled to take direct possession of the property. The Reorganization Committee defended their generosity to the stockholders on the ground that it was desirable to retain the services (at a salary) of the largest stockholder as manager of the property. In effect the real owners of the building took a preferred-stock issue (*i.e.*, income bonds) for their capital and gave up all the junior equity to the management. This seems a staggering price to pay for the supervision of an office building.